financial trading, and to enforce against market abuse. Apart from this, there is no role for the government.

In India, however, we have evolved a remarkable central planning system where every detail about the design of the exchange is controlled by SEBI. Every exchange in India looks the same to the user, and the features and capabilities of the exchange are controlled by SEBI.

This has generated a remarkable shadow-boxing where the process of competition between exchanges is played out as rival influences upon SEBI. Each exchange lobbies in favour of changes in the SEBI-specified product design that will increase its own market share. The only competition between exchanges is for influence at SEBI.

Under Indian conditions of state capacity, SEBI fares poorly when the competitive energy between exchanges is played out at the arena of SEBI. Under Indian conditions of state capacity, the power of central planning placed at SEBI—unmoored of market feedback—yields a poor design of the trading system.

In recent years, this has given a stream of actions by SEBI that have a negative impact upon market quality. At first blush, we may think that the answer lies in improved state capacity at SEBI. However, the real issue is that comprehensive central planning systems work particularly badly when there is low state capacity. The deeper solution is to remove SEBI from the crossfire of competition between exchanges.

Example 52: Industrial policy

We frequently hear demands for a government to ‘pick winners’ such as an industry (e.g., making wall clocks) and/or a location (e.g., Morbi, Gujarat), and push the private sector in this direction either through tax incentives or subsidies or coercion.

The experience of mature economies such as Japan or the US shows us that industrial policy works badly, even under those conditions of state capacity. Under Indian conditions of state capacity, industrial policy is best